

- Salary sacrifice/Packaging for Police

PDF-Free Report -Salary sacrificing as a way to save tax

Salary sacrificing and tax effective remuneration packaging - Police Officers 2019

This guide explains to Police officers how salary packaging works and the potential benefits it can bring in lowering your tax. Please seek advice from your HR/payroll section before you proceed. This paper is only a guide and does not seek to be a recommendation to everyone.



Benefits of salary packaging

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Accountants Plus Group Pty Ltd

Salary sacrifice arrangements for Police

What Is Salary Sacrifice?

Salary sacrifice is an arrangement between you and your employer which enables you to pay for certain goods or services straight from your pre-tax salary. The effect is to reduce your taxable income and hence reduce your tax bill, whilst giving you tax effective access to a variety of goods and services.

Salary sacrifice enables an employee to receive a combination of income and benefits to their tax. Effective salary sacrifice allows employees to take some of their remuneration in the form of concessionally taxed benefits instead of taking it all as fully assessable salary. This process gets its name due to the employee sacrificing some part of their salary in return for the desired benefits. You can also salary sacrifice for other items such as a car or computer.

How does salary sacrifice work?

First, you need to look at your income and expenses, and work out how much of your income you can comfortably give up now. Then you need to arrange with your employer to regularly redirect that amount of your wage to your super account instead of your bank account or pay check.

Asking your employer to arrange salary sacrifice is usually as simple as sending them an email.

How to arrange a salary sacrifice

Make a salary sacrifice agreement with your employer. The agreement will need to be in place before the work commences; if the agreement is put in place after you've started working, it may be ineffective. Put your salary sacrifice arrangement in writing, clearly stating all the terms. Although generally put in writing, this contract may also take verbal form. However, if you chose to enter into an undocumented salary sacrifice arrangement (verbal agreement), you may have difficulty establishing the facts of your agreement.

You must permanently forego the sacrificed salary for the period of your arrangement. If a fringe benefit hasn't been provided and is cashed out at the end of an accounting period, the amount cashed out is salary and is taxed as normal income.

What are the benefits of a salary sacrifice?

Salary sacrifice allows you to buy the benefit in pre-tax dollars. This means, if your tax rate is 32.5%, you get 32.5% better buying power. Say an individual earns \$100,000 a year and wants to buy a new work-related car, worth \$22,000. Had they entered into a salary sacrifice agreement with their employer, the \$22,000 for the car would be taken out of their pre-tax income, putting them in the lower tax bracket with a \$78,000 income and a tax-free car.

The above calculations haven't taken into account Fringe Benefits Tax (FBT) as this depends on a few factors:

- Does your employer pay the FBT?
- Do you reimburse your employer for the private use?
- The private use of the car affects the FBT payable
- Some benevolent institutions don't pay FBT
- FBT is payable by the employer, not the employee
- Many salary package deals require the employee to reimburse the employer for the FBT costs out of the salary package

Expenses such as school fees, personal expenses and mortgage payments attract Fringe Benefits Tax which is based on the top marginal rate of tax.

Types of benefits that can be included

There is no restriction on the types of benefits you can sacrifice. The important thing is that these benefits form part of your remuneration. They replace what otherwise could have been paid as salary.

The types of benefits generally provided in salary sacrifice arrangements by employers include: fringe benefits, exempt benefits, and super.

Fringe benefits

Common fringe benefits include:

- cars
- property (including goods, real property such as land and buildings, and shares or bonds)
- expense payments (such as the payment of your loan repayments, school fees, child care costs and home phone costs).

Exempt benefits

A number of benefits are exempt from fringe benefits tax (FBT).

The following work-related items commonly provided in salary sacrifice arrangements are exempt benefits:

- a portable electronic device
- an item of computer software
- an item of protective clothing
- a briefcase
- a tool of trade.

The work-related items exemption is limited to:

- items primarily for work-related use
- one item per FBT year for items that have a substantially identical function, unless the item is a replacement item.

Note: The FBT exemption for certain work-related items applies to items purchased after 7.30pm (AEST) 13 May 2008.

Superannuation

Salary sacrificing into super

This involves asking your employer to redirect a portion of your pay as a contribution to super. By 'sacrificing' some of your before-tax salary and putting it into your super fund, you get taxed at the special rate of 15%. This is a good opportunity for higher income earners due to their higher marginal tax rate.

It's important to note that if salary sacrificed super contributions are made to a complying super fund, the sacrificed amount isn't subject to FBT. This makes an attractive addition to any salary package; let's say an employee has a 30% marginal rate – they'll save 15% tax on every dollar that's salary sacrificed into super. The higher your marginal tax rate, the bigger the tax savings.

Concessional contributions cap

If your salary sacrifices contributions to your super fund, this is treated as a ‘concessional contribution.’ Employer contributions made under the super guarantee also form part of an employee’s ‘concessional contributions. These contributions are included in the assessable income of the fund and taxed at 15%. However, there’s a cap on the amount of concessional contributions each member can make each income year. If a person has made contributions to more than one superannuation fund, all contributions are aggregated.

From 1 July 2017, the amount of concessional contributions you can make is limited to \$25,000

Requirements for an effective salary sacrifice arrangement

You need to set up a salary sacrifice arrangement with your employer before you start the work. If your arrangement is not put into place until after you have performed the work, it may be ineffective.

Agreement between you and your State Police force

It is advisable that you and your employer clearly state and agree on all the terms of any salary sacrifice arrangement. The contract is usually in writing, but may be a verbal one. If you enter into an undocumented salary sacrifice arrangement, you may have difficulty establishing the facts of your agreement.

Subject to the terms of any contract of employment or industrial agreement, employees can renegotiate a salary sacrifice arrangement at any time. Where you have a renewable contract, you can renegotiate amounts of salary or wages to be sacrificed before the start of each renewal.

The contract of employment includes details of your remuneration, with any salary sacrifice arrangement. Your contract can be varied by agreement between you and your employer.

Note: Your salary sacrificed contributions are considered to be contributions from your employer. For example, if you elect to salary sacrifice 5% into your super, your employer would only have to contribute 4.5%. Similarly, if you elect to salary sacrifice 9.5% or more into your super, your employer would not have to make any additional contributions. So,

you should clarify the terms of the agreement if you want to ensure your employer still pays you the 9.5% super guarantee.

No access to sacrificed salary (cannot be cashed in)

You must permanently forego the sacrificed salary for the period of your arrangement. If a fringe benefit has not been provided and is cashed out at the end of a salary sacrifice arrangement accounting period, the amount cashed out is salary and is taxed as normal income.

Similarly, if you direct your employer to make payments to a third party from salary you have earned (for example, to pay your health insurance premiums, loan repayments, union fees or credit card repayments), these do not constitute an effective salary sacrifice arrangement. These third-party payments are made from your after-tax or net amounts of salary.

Note: Any salary and wages, leave entitlements, bonuses or commissions that accrued before you entered into the arrangement cannot be part of an effective salary sacrifice arrangement.

Implications of entering into an arrangement

As an employee, you need to be aware of how entering into a salary sacrifice arrangement with your employer will affect you. This may affect your employer because:

- You pay income tax on the reduced salary or wages.
- Your employer may be liable to pay FBT on the non-cash benefits provided.
- Your employer may be required to report certain benefits on your payment summary.
- Salary sacrificed superannuation contributions are taxed in the superannuation fund under tax laws dealing specifically with this subject.
- Salary sacrificed super contributions are classified as employer super contributions, rather than employee contributions. This will reduce the level of superannuation to be paid by your employer when meeting their superannuation obligations. For example, if the salary-sacrificed super contribution is more than the minimum super guarantee amount of 9.5%, your employer does not need to pay an additional amount to their super guarantee obligations to you.

Super guarantee

Your salary-sacrifice contribution is counted towards your employer contributions. Your employer is only required to meet their 9.5% super guarantee obligation. This can mean for example, that if you elect to salary sacrifice 5% into your super, your employer would only have to contribute 4.5% into your super.

To continue to receive the minimum super guarantee amount from your employer, you will need to have an agreement in place. This must specify that your employer continues to pay the minimum 9.5% super guarantee amount, without including your extra contributions.

Salary sacrificed super contributions are taxed in the super fund under tax laws dealing specifically with this subject. It is advisable that you and your employer clearly state and agree on all the terms of any salary sacrifice arrangement.

Assessable income

You only pay income tax on your reduced salary, but you receive the reduced salary plus the benefits. You can make employee contributions out of your after-tax income. These can be towards the cost of the benefits and reduce any reportable fringe benefits amount.

Under an effective arrangement, your income tax liability should be less than it would have been without an arrangement. However, before entering into a salary sacrifice arrangement you should consider the associated costs. This includes the amount to be sacrificed and any surcharges or obligations from having the benefits reported on your payment summary.

Salary sacrificing a deductible expense

If your employer pays for an expense, as part of your salary package, which you would normally get a tax deduction for, they will not have to pay FBT on this expense. This is known as the 'otherwise deductible rule'. If this occurs you will not be able to claim an

income tax deduction for this expense in your personal income tax return. This is because the 'deductible element' of the expense has been taken into account when your employer calculates the taxable value of the benefit provided to you for FBT purposes.

Example: Employer-paid expense

An employer pays for the compulsory insurance of a 'Death and disability scheme' for their employees. Premiums are set at 1.8% of the income package and are paid under a salary sacrifice arrangement.

Income tax deductions cannot be claimed where an expense has been paid by an employer.

Fringe benefits tax

If there is any FBT payable on the benefits you received, your employer is liable to pay that tax. Your salary may be reduced by the amount of FBT paid by your employer as part of your salary sacrifice agreement.

Certain employers, such as public benevolent institutions, health promotion charities and public hospitals, will not be liable to pay FBT. That is unless the amount of benefits provided to an individual employee exceeds the relevant threshold.

Super

Where contributions are paid to a complying super fund, your earnings base may be reduced. That is unless the salary sacrifice arrangement states otherwise. Your earnings base is the amount on which super contributions made by your employer are calculated.

Reportable fringe benefits

If the total taxable value of certain fringe benefits received by you in an FBT year (1 April to 31 March) exceeds \$2,000, the grossed-up taxable value of those benefits will be recorded on your payment summary for the corresponding income year (1 July to

30 June). Some fringe benefits, called excluded benefits, don't have to be reported on your payment summary, although your employer still has to pay FBT on these benefits.

Grossing up reflects the gross salary that you would have to earn to purchase the benefit from after-tax dollars. This is calculated at the highest marginal tax rate, including the Medicare levy. That is, your employer multiplies the taxable value of the benefit by 1.8868.

The value of fringe benefits reported on your payment summary is known as your reportable fringe benefits amount. You will need to show this amount (or the total of the reportable fringe benefits amounts if you receive more than one payment summary during the year) on your tax return.

This amount is shown on your tax return, but will not be included in your assessable (or taxable) income or affect the amount of basic Medicare levy payable. However, the total will be used to calculate:

- the Medicare levy surcharge
- deductions for personal super contributions
- the super co-contribution
- certain tax offsets
- the private health insurance rebate
- Higher Education Loan Program (HELP), Student Financial Supplement Scheme (SFSS), Student Start-up Loan (SSL), ABSTUDY Student Start-up Loan (ABSTUDY SSL) or Trade Support Loan (TSL) repayments
- your child support obligations
- your entitlement to certain income-tested government benefits.

Example: Salary sacrifice of a motor vehicle

Sam earns \$65,000 a year and is considering entering into an effective salary sacrifice arrangement. Under this arrangement, his employer will provide the use of a \$35,000 car and pay all the associated running expenses of \$11,500.

The salary packaging provider calculates that:

- the taxable value of the car fringe benefit will be \$5,950 if the car travels between 25,000 and 40,000 kms in the FBT year
- Sam will sacrifice either
 - \$14,205 if no employee contributions are made
 - \$9,109 if employee contributions of \$5,950 are made.

The following table illustrates how salary sacrificing and employee contributions work by comparing the net disposable income for Sam in three scenarios:

- 16. no salary sacrifice arrangement
- 17. a salary sacrifice arrangement without any employee contributions
- 18. a salary sacrifice arrangement where employee contributions are provided.

Three salary sacrifice scenarios	1. Salary only (no packaging)	2. Salary + car (without employee contributions)	3. Salary + car (with employee contributions)
Annual remuneration	\$65,000.00	\$65,000.00	\$65,000.00
Less salary sacrifice	NIL	\$14,205.00	\$9,109.00
Taxable income	\$65,000.00	\$50,795.00	\$55,891.00
Less income tax (2018–19 rates)	\$12,672.00	\$8,055.38	\$9,711.58
Less 2% Medicare	\$1300.00	\$1015.90	\$1117.82
Income after tax and salary sacrifice amt	\$51,028.00	\$41,723.72	\$45,061.60
Less employee contribution	NIL	NIL	\$5,950.00
Less car expenses	\$11,500.00	NIL	NIL
Net disposable income	\$39,528.00	\$41,723.72	\$39,111.60
Reportable fringe benefits amount for employee payment summary	NIL	\$11,226.46 (car fringe benefits taxable value of \$5,950 × 1.8868)	NIL

Note: The above example illustrates how salary sacrifice arrangements can work. It is not intended to be advice, whether legal or professional. You should not act solely on the basis of the information in this example. Specific advice should always be obtained from your financial adviser.